

CHAPTER- FIVE

STAFFING FUNCTION

Chapter objectives:

At the end of this chapter you will be able to:

- Explain how staffing is a major management function
- Distinguish between recruitment internal and external recruitment sources
- Outline selection process
- Distinguish between training and development
- Describe concepts of human resource maintenance

INTRODUCTION

After an organization's structural design is in place, it needs people with the right skills, knowledge, and abilities to fill in that structure. People are an organization's most important resource, because people either create or undermine an organization's reputation for quality in both products and service. In addition, an organization must respond to change effectively in order to remain competitive. The right staff can carry an organization through a period of change and ensure its future success. Because of the importance of hiring and maintaining a committed and competent staff, effective human resource management is crucial to the success of all organizations. Attracting, developing, rewarding, and retraining the people needed to reach organizational goals are the activities that make up the staffing function.

5.1. THE PROCUREMENT FUNCTION

The first operative function of human resource management is procurement. It is concerned with procuring and employing people who possess necessary skill, knowledge and aptitude. Under its purview you have job analysis, manpower planning, recruitment, selection, and orientation.

I. Job analysis

It is the process of collecting information relating to the operations and responsibilities pertaining to a specific job.

Job analysis is a detailed and systematic study of information relating to the operations and responsibilities of a specific job. It is a procedure and a tool for determining the specified tasks, operations and requirements of each job like what the worker does, how he gets it, skill, education and training required, environmental conditions, physical demands etc. In other words, job analysis refers to the anatomy of the job. Job analysis is resulted into two – job description and job specification.

i. Job description

The results of a job analysis are set down in job description. It is an important document which is basically descriptive in nature and contains statement of job analysis. The main points to be included in a job description are:

- a) The location of the job-division, department, branch.
- b) The title of the job
- c) Description about purpose of the job
- d) working environment and circumstances
- e) Relation to other jobs
- f) Supervision given and received
- g) Materials tools and equipment used
- h) Conditions of work
- i) Hazards etc.

ii. Job specification (person specification)

A job specification or a man specification is a statement of the minimum acceptable human qualities necessary to perform a job satisfactorily. It tells us what kind of person to recruit and for what qualities that person should be tested. Job specifications translate the job description into terms of the human qualifications which are required for a successful performance of a job.

The specifications may relate to:

- a) **Physical characteristics** - health, strength, height, weight, vision etc,
- b) **Mental characteristics**- judgment, analytical ability, mental concentration etc,
- c) **Personal characteristics**- or traits of temperament such as good and pleasing manners, emotional stability, leadership qualities, initiative etc,
- d) **Demographic features**- such as age, sex, education, experience, language ability etc.

Job specifications are developed with the co-operation of the personnel department and various supervisors in the whole organization.

II. Human resources planning

It is a process of determining and assuring that the organization will have an adequate number of qualified persons, available at proper times, performing jobs which would meet their needs and provide satisfaction for the individuals involved. Planning may involve:

• Determination of the kind or quality of human resource

Knowledge of the nature and requirements of jobs is essential for determining the quality of personnel. This can be ensured from job analysis results such as job descriptions and job specification.

- **Determination of the quantity of human resource**

A manager should determine the right number of employees required to accomplish organizational goal.

III. Recruitment

It is the process of searching for prospective employees and stimulating them to apply for jobs in the organization. It includes all the activities an organization may use to attract a pool of viable candidates. Keep in mind that recruiting strategies differ among organizations.

Sources of recruitment

Sources of supply are the places, agencies and institutions to which recruiters go to seek potential candidates that will fill the vacant positions or the job needed. These sources of supply are generally categorized in to two. These are:

- ♣ Internal and
- ♣ External sources

a. Internal Recruitment/recruitment from within:

Internal sources are the most obvious. These include personnel already on the payroll of an organization, i.e. its present workforce. This source also includes personnel who were once on the payroll of the company who plan to return or whom the company would like to rehire, such as those on production layoffs.

Advantages:

- ♣ It is usually less expensive to recruit from within than to hire from outside the firm.
- ♣ It may foster loyalty and inspire greater effort among organization members.
- ♣ Individuals may need less initial training and orientation.
- ♣ It also generates higher employee commitment, development, and satisfaction because it offers opportunities for career advancement to employees rather than outsiders.

Disadvantages:

- ♣ It limits the pool of talent available to the organization.
- ♣ Inbreeding – absence of new ideas, skills, knowledge etc, obtained from outside an organization

b. External /outside/ recruitment:

If internal sources do not produce an acceptable candidate, many external recruiting strategies are available, including the following:

- ♣ High schools and vocational schools
- ♣ College and universities

- ♣ Competitors
- ♣ Employment agencies
- ♣ The unemployed

The following are the major advantages of external recruitment:

- ♣ Outside people can often bring new and innovative ideas to the workforces
- ♣ New employees are less likely to be involved in company politics. Thus the new recruit is less susceptible to conformity pressures and other negative group phenomena that adversely affect employee morale and productivity.
- ♣ External recruitment may be less expensive to hire a well trained specialist professional from outside the organization than to train and develop existing personnel.

External recruitment has its own disadvantages. Among the disadvantages of external recruitment are:

- ♣ If existing employees reject the new comers, the new comer may learn not to contribute or learn that his/her expectation will not be met.
- ♣ An externally recruited employees requires a great deal of time to become initiated in to the way things are in the organization
- ♣ When new comers are selected over popular insiders, the work group may resent their presence and attempt directly or indirectly to force them to leave.

IV. Selection

Selection is the process of choosing from a group of applicants those individuals best suited for a particular position. Most managers recognize that employee selection is one of their most difficult, and most important, business decisions. This process involves making a judgment -not about the applicant, but about the fit between the applicant and the job by considering knowledge, skills and abilities and other characteristics required to perform the job Selection procedures are not carried out through standard pattern and steps in this. Process can vary from organization to organization some steps performed and considered important by one organization can be skipped by other organization.

Recruitment is the process of evaluating and deciding the best and qualified candidates out of the pool of applicants received in the recruitment process for job openings based on their abilities, skills and performance. If human resource managers are to make good match between jobs and candidates, they should use the job description and job specification before they decide on the application.

Having the right people on staff is crucial to the success of an organization. Various selection devices help employers predict which applicants will be successful if hired.

Steps in the selection process

The selection process typically begins with the preliminary interview; next, candidates complete the application for employment. They progress through a series of selection tests, the employment interview, and reference and background checks. The successful applicant receives a company physical examination and is employed if the results are satisfactory. Several external and internal factors impact the selection process, and the manager must take them into account in making selection decisions. Typically selection process consists of the following steps but it is not necessary that all organization go through all these steps as per requirement of the organization some steps can be skipped while performing the selection process.

1. Initial Screening
2. Application Blank
3. Pre-employment Testing
4. Interview
5. Background Checks
6. Conditional job offer (Realistic Job Preview)
7. Medical Exam
8. Final Selection Decision

Notification to candidates: The selection process results should be made known to candidates—successful and unsuccessful—as soon as possible. Any delay may result in the firm losing a prime candidate, as top prospects often have other employment options. As a matter of courtesy and good public relations, the unsuccessful candidates should also be promptly notified.

V. Orientation

Orientation is technique by which a new employee is rehabilitated in his new surroundings and introduced to the practices, policies, and people. He must be acquainted with the principles which define and drive the organization, its mission statement and values which form its backbone.

5.2. TRAINING AND DEVELOPMENT FUNCTION

Training: supplies the skills, knowledge, needed by the individual to perform their present job. Training programs are directed toward maintaining and improving current job performance. Training is mainly given to non managers to improve their technical skills.

Development: training at present offered for future upgrading to higher level positions. Developmental programs seek to develop skills for future jobs. Managers receive assistance in developing the skills required in future jobs- conceptual and human relations skills.

Training Methods:

There are two different types of training techniques. These are:

- ♣ On-the-job training
- ♣ Off-the-job training

On-the –job training: involves learning methods and techniques by actually doing a job (performing the work) and increasing the levels of skills of the employee. The employee usually learns under the supervision of the immediate boss or co-worker who has greater knowledge and skills about the job. It is widely used, because it is economic and convenient, and no special facilities, equipment and training places are required and the employee produces and contributes to the organizational objective and at the same time he learns. Job rotation and job instruction methods are few of the techniques used in on the job training. It is convenient for small number of trainees.

Advantages of On-the-job training

- a) It is less expensive.
- b) The training is under the supervision of supervisors/coworkers
- c) The production does not suffer under this method.
- d) The trainee learns rules and regulations while learning the job.
- e) High knowledge transfer.

Disadvantages of On-the-job training

Some of its disadvantages are:

- a) It may create disinterest of employees or they may lack motivation to learn like that
- b) Employees have dual responsibility
- c) It is not convenient for large number of employees.
- d) Lack of concentration from supervisor/trainer
- e) The experienced trainers may not be available

Off –the Job Training: This technique involves participation of employees in a series of events removed from the actual performance of the organization and the work situation.

Advantages of off-the-job training:

- ♣ It may create interest of employee: because employees are removed from their routine activities and are moved to a new environment.
- ♣ It is convenient for large number of employees (trainees).

Disadvantages

- ♣ It is expensive-there are costs for trainers, facilities and also the employee does not contribute during the training.

- ♣ There is a problem of transfer of knowledge from the training situation to the actual situation of the job.

Vestibule training, classroom instruction/ lectures, conference and simulation exercises are the more popular techniques of off the job training.

5.3. MAINTENANCE & UTILIZATION HUMAN RESOURCES

Now we turn to the topic of how managers and HRM professionals maintain a workforce that has been recruited and developed. Maintenance of the human resource involves administration and monitoring of compensation, wage and salary systems, benefits programs, employee evaluation procedure, employee relations issues such as employee discipline, collective bargaining, grievance handling procedure and workplace safety and health policies to retain a competent workforce and comply with statutory standards and regulations.

5.3.1. Compensation

Employee compensation refers to all work-related payments, including salaries & wages, commissions, insurance, and time off.

Nobody is surprised to find that employees expect payment for the services they render. The problem arises when the organization has to determine how much money each employee is to receive for the work he or she performs.

Each organization must make a number of interrelated decisions concerning the relative magnitude of its wages and salaries (as compared with those in other organizations) and the relative rates for different jobs within the organization i.e., keeping internal equity and external equity.

5.3.2. Benefit programs

The cost of employee compensation is not limited exclusively to wages and salaries. Another source of employee remuneration and one that is continuously increasing in importance is **“benefit programs: Rewards for Loyalty”**. It is popularly known as **“fringe benefits”**, these programs are now an established component of nearly every organization’s personnel program. Their administration involves much more than mere agreement to pay for vacations and insurance. How successfully manager deals with these benefits determine whether or not these programs serve as an incentive for increasing productivity.

Systematic procedure for compensation, reduces inequalities between employees’ earnings, ensures a good wage-administration program, raises individual morale and reduces intergroup friction. It also permits the company not only recruit capable employees, but also motivates

people to work for pay increases and promotions, reduces union and employee grievances, and to retain productive employees.

5.3.3. Performance Appraisal

Performance appraisal is a system of review and evaluation of an individual or team's job performance. An effective system assesses accomplishments and evolves plans for development. Performance can be defined as efforts along with the ability (skills, abilities) to put efforts (motivation) supported with the organizational policies (organizational conditions, opportunities) in order to achieve certain objectives.

Performance management is a process that significantly affects organizational success by having managers and employees work together to set expectations, review results, and reward performance. Its goal is to provide an accurate picture of past and / or future employee performance. To achieve this, performance standards are established. Organization should maintain and utilize its human resources to achieve its goal effectively and to improve its performance.

Steps in the performance appraisal process

- Identify the specific performance appraisal goals.
- Establish job expectations (job analysis) - setting standards.
- Examine work performed - measure actual performance.
- Appraise performance - compare actual with plan.
- Discuss appraisal with employee.
- Take corrective action, if necessary

Uses of Performance Appraisal

Performance appraisal serves two types of the objectives one is to make the evaluation decisions and other is to provide the need assessment source for the training and development if there is a gap between actual and expected performance. For many organizations, the primary goal of an appraisal system is to improve performance. A system that is properly designed and communicated can help achieve organizational objectives and enhance employee performance. In fact, PA data are potentially valuable for use in numerous human resource functional areas. For example, performance result may help in;

- ♣ Human Resource Planning
- ♣ Recruitment and Selection
- ♣ Training and Development
- ♣ Career Planning and Development
- ♣ Compensation Programs, etc

Methods of Performance appraisal

There are several methods of performance appraisal some of which are 360-degree feedback, rating scales, critical incidents, ranking, forced distribution, checklist performance reports, behaviorally anchored rating scales, and management by objectives (MBO).

Responsibility for Appraisal

In most organizations, the human resource department is responsible for coordinating the design and implementation of performance appraisal programs. However, it is essential that line managers play a key role from beginning to end. Further appraisal can be done by immediate supervisor, subordinates, peers, self-appraisal and customer appraisal.

5.3.4. Employee Relations:

Employee or employment relations are concerned with managing and maintaining the employment relationship, which involves handling the pay-work bargain, dealing with employment practices, terms and conditions of employment, issues arising from employment, providing employees with a voice and communicating with employees. They consist of the approaches and methods adopted by employers to deal with employees either collectively through their trade unions or individually.

The term 'employee relations' encompasses that of industrial relations, which are about relationships between managements and trade unions involving collective agreements, collective bargaining, disputes resolution and dealing with issues concerning discipline, the employment relationship and the working environment.

5.3.4.1. Disciplining Employees

Employee discipline is a tool that managers use to communicate a need to change behavior. Traditionally, such discipline is performed by supervisors. But, when teams are used, it may be the team's responsibility. Two different approaches to discipline are widely used. They include progressive and positive discipline

A. Progressive Discipline

The most commonly used form of discipline, progressive discipline, consists of a series of management interventions that gives employees opportunities to correct their behavior before being discharged. It takes the following shape: oral reprimand → written reprimand → fine → suspension → lay off → dismissal.

B. Positive Discipline

This discipline encourages employees to monitor their own behaviors and assume responsibility for their own actions. Management still intervenes, but with counseling sessions as opposed to punishment.

5.3.4.2. Collective Bargaining

Collective bargaining is the establishment by negotiation and discussion of agreement on matters of mutual concern to employers and unions covering the employment relationship and terms and conditions of employment. It therefore provides a framework within which the views of management and unions about disputed matters that could lead to industrial disorder can be considered, with the aim of eliminating the causes of the disorder. Collective bargaining is a joint regulating process, dealing with the regulation of management in its relationships with work people as well as the regulation of conditions of employment.

Under a collective bargaining system, union and management negotiate with each other to develop the work rules. The performance of the mutual obligation of the employer and the representative of the employees to meet at reasonable times and confer in good faith with respect to wages, hours, and other terms and conditions of employment, or the negotiation of an agreement, or any question arising there under, and the execution of a written contract incorporating any agreement reached if requested by either party; such obligation does not compel either party to agree to a proposal or require the making of a concession.

Union is organization of workers, acting collectively, seeking to protect and promote their mutual interests through collective bargaining is termed as union. The most significant impact of a union on the management of human resources is its influence in shaping HRM policies.

5.3.4.3. Grievance Handling Procedure

A *grievance* can be broadly defined as an employee's dissatisfaction or feeling of personal injustice relating to his or her employment relationship.

Grievance Handling Procedure contains the means by which employees can voice dissatisfaction with specific management actions.

If employees in an organization are represented by a union, workers who believe that they have been disciplined or dealt with unjustly can appeal through the grievance and arbitration procedures of the collective bargaining agreement.

Although the step-by-step procedure for handling union grievances is common practice, the means of resolving complaints in union-free firms varies. A well-designed union-free grievance procedure ensures that the worker has ample opportunity to make complaints without fear of reprisal.

5.3.4.4. Workplace Safety and Health

Safety: Involves protecting employees from injuries due to work-related accidents.

Health: Refers to the employees' freedom from physical or emotional illness.

Safety programs may be designed to accomplish their purposes in two primary ways. The first approach is to create a psychological environment and attitudes that promote safety. A strong company policy emphasizing safety and health is crucial. The second approach to safety program design is to develop and maintain a safe physical working environment.

Physical Conditions: Conditions resulting from the workplace environments that include occupational diseases and accidents, such as:

- Repetitive motion injuries
- Back pain
- Cancer Etc.

Psychological Conditions: Conditions that result from organizational stress and low quality of working life. These include:

- Dissatisfaction, withdrawal
- Mistrust in others, irritability

5.4. SEPARATION

The departure of an employee from an organization is referred to as separation. Separation may be voluntary or involuntary. Resignations and retirements are voluntary separations. Involuntary separations are layoffs and/or firings. For example, downsizing throughout the United States has resulted in many layoffs.

Sometimes, however, an employee must be terminated because of poor performance. Dismissal or firing of employees should occur only on the basis of just cause and only after all reasonable steps to rehabilitate the employee have failed. In some cases, such as gross insubordination or theft, immediate dismissal is required. However, managers should handle separation of workers appropriately if they need to make their organization effective.